



PLANNING
DEPARTMENT

SB 840

Codes and Ordinances Joint Committee

September 24, 2025

Agenda

- SB 840 Overview
- Impacts of SB 840
- Next Steps



SB 840 Overview



SB 840 Summary

- Allows by-right mixed-use or multifamily in all zoning districts that allow non-residential uses (excluding zones with heavy industrial).
- Sets minimum standards for height, density, and maximum setbacks for multifamily and mixed-use developments in commercial zones.
- Exempts residential conversions of existing commercial or office buildings from impact fees and other city requirements.
- Effective Date: September 1, 2025.



SB 840 Applicability: Residential By Right

- Allows residential by-right on any property where mixed-use, office, commercial, retail, or warehouse uses are currently allowed in the zoning district.
- Does not apply to:
 - Zones that allow a heavy industrial use
 - Properties within 1,000 ft. of a heavy industrial use or development site or within 3,000 ft. of an airport or military base
 - An area designated by a city as “a clear zone or accident potential zone”



SB 840 Applicability: Residential By Right (cont.)

- Residential is allowed by right in the following zoning districts in Austin:
 - All office base zones:
 - Neighborhood Office (NO), Limited Office (LO), General Office (GO)
 - All commercial base zones:
 - Community Recreation (CR), Neighborhood Commercial (LR), Community Commercial (GR), Lake Commercial (L), Central Business District (CBD), Downtown Mixed-Use (DMU), Warehouse/Limited Office (W/LO), Commercial Services (CS), Commercial Highway (CH)
 - Special purpose base zones:
 - Agriculture (AG), *Planned Unit Development (PUDs)**
 - Industrial base zones:
 - *Research & Development (R&D)**
 - Regulating plans:
 - Lamar/Justin, Plaza Saltillo, MLK, East Riverside Corridor, North Burnet/Gateway Regulating Plans

**Applicable to properties with PUD and R&D zoning that allow commercial uses & prohibit heavy industrial uses*



SB 840 Applicability: New Minimum Entitlements

- Bill sets new minimum entitlements for “**mixed-use residential**” and “**multifamily residential**” development, for sites where SB 840 applies.
 - **Mixed-Use Residential** = any site in which the residential uses are at least 65% of the development’s total square footage.
 - **Multifamily Residential** = any site for 3 or more dwelling units within one or more buildings.



New Minimum Entitlements Under SB 840

■ Density:

- Cities must allow the greater of 36 units per acre or the highest residential density currently allowed in the city. This is 54 units per acre in Austin.
- Cannot restrict floor-area-ratio (FAR)

■ Height:

- Cities must allow the greater of 45 feet or the height that currently applies to a non-residential use on the same site.

■ Setbacks:

- Cities must allow the lesser of 25 feet or the setback that currently applies to a non-residential use on the same site.



Impacts of SB 840



General Impacts to Density Bonus Programs

- Density bonuses that do not allow additional height, such as VMU, are likely no longer viable.
- Density bonuses that allow additional height, such as DB90, DBETOD, ERC, TOD, and NBG, may be less attractive than what's available by right for developments, post-SB 840
 - Viability likely varies by location or other factors, such as higher construction cost per sq. ft. for podium construction.
- Affordability Unlocked projects may have to compete with market-rate developers on more properties, potentially leading to higher land costs for subsidized affordable housing developments.



SB 840 Impacts for Tiered Citywide DBs / DBETOD

- Council initiated changes on June 5 to create new tiered density bonus programs and revise the existing VMU and DB90.
- Goals from the resolution included direction to:
 - Look at additional types of community benefits
 - Analyze requirement for partial or full replacement of existing affordable units
- Staff will analyze the new development reality post-SB 840 to understand whether bonus programs could “pencil” with the same, fewer, or more benefits than are required today.



Downtown Density Bonus (DDB)

- Produces highest density/heights and the most affordable housing fees-in-lieu in the City.
- CBD and DMU zoning today:
 - CBD zoning has no height limit but has FAR limit of 8:1.
 - DMU zoning has height limit of 120' and FAR limit of 5:1.
- DDB allows for developments to go above their base entitlements.
 - In general, DDB can increase CBD and DMU sites:
 - Up to 25:1 FAR
 - Up to unlimited height



Downtown Density Bonus (DDB)

- SB 840 Impacts on DDB:
 - Removes FAR limits for developments with residential
 - Allows CBD sites unlimited height (lack of max. height in CBD) & unlimited FAR
 - Allows DMU zoning to develop to 120' tall with unlimited FAR
 - Greatly reduces the incentive for parcels zoned CBD to participate in DDB
 - Loss of affordable housing fees-in-lieu and “Great Streets” participation
- Potential Regulatory Revisions to Consider:
 - Add height limit to CBD consistent with 8:1 FAR



Additional Impacts of SB 840

- Impacts on legacy commercial districts and regulation of active uses
 - Airport Overlay impacts
 - FLUMs and Neighborhood Plan Amendments
 - Waterfront Overlay
- For updates, an information sheet, and information on potential amendments, visit SpeakUpAustin.org/LDCUpdates



Next Steps



Next Steps for Density Bonus Programs

- Update Land Development Code to establish a Central Business District base height & update Downtown Density Bonus to incorporate CBD height limit
- Develop staff proposals for new citywide tiered density bonus system that accounts for SB 840 impacts
- Evaluate other types of incentives for affordable housing, beyond density bonus programs
- Identify additional changes and amend Land Development Code as needed



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Thank You